BEFORE THE ADJUDICATING AUTHORITY
NATIONAL COMPANY LAW TRIBUNAL
BENCH AT AHMEDABAD
COURT-1

ITEM No.201
C.P.(CAA)/5(AHM)2023
in
C.A.(CAA)/5(AHM)2023

Proceedings under Section 230 to 232 of the Companies Act, 2013

IN THE MATTER OF:

Reliance Projects & Property Management Services Limited **……Petitioner Company**

Order delivered on: 07/08/2023

Coram:

Shammi Khan, Hon'ble Member(J)
Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

C.P.(CAA)/5(AHM)2023 in **C.A.(CAA)/5(AHM)2023**

The case is fixed for pronouncement of the order.

The order is pronounced in open Court vide separate sheet.

-Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Narendra S. Tomar / Stenographer

BEFORE THE ADJUDICATING AUTHORITY
NATIONAL COMPANY LAW TRIBUNAL
BENCH AT AHMEDABAD
COURT-1

C.P.(CAA)/5(AHM)2023
in
C.A.(CAA)/5(AHM)2023

Composite Scheme of Amalgamation

of

Reliance Infratel Limited

(Amalgamating Company 1/ RITL)

and

Reliance SMSL Limited

(Amalgamating Company 2/ RSMSL)

with

Reliance Projects & Property Management Services Limited

(Petitioner Company/Amalgamated Company/ RPPMSL)

and

their respective shareholders and creditors

(Under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013)

In the matter of:

Reliance Projects & Property Management Services Limited

[CIN: U72501GJ2019PLC108755]
A company incorporated under the provisions of the Companies Act, 2013 having its registered office at Office-101, Saffron, Nr Centre Point, Panchwati 5 Rasta, Ambawadi, Ahmedabad-380006, Gujarat.

....Petitioner Company/ Amalgamated Company/ RPPMSL

Appearance:

For Applicant : Mr. Saurav Soparkar, Sr. Adv.
a.w. Mr. Ravi Pahwa, Adv.

For RD : Mr. Shivpal Singh, Assistant Director

Order Reserved On: 26.07.2023
Order Pronounced On: 07.08.2023

Coram: Shammi Khan, Hon'ble Member (J)
Kaushalendra Kumar Singh, Hon'ble Member (T)

ORDER

1. This present Company Petition has been filed by the Petitioner Company under Sections 230 to 232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking sanction to the Composite Scheme of Amalgamation of Reliance Infratel Limited (Amalgamating Company 1 / RITL) and Reliance SMSL Limited (Amalgamating Company 2 / RSMSL) with Reliance Projects & Property Management Services Limited (Petitioner Company/ Amalgamated Company/ RPPMSL) and their respective shareholders and creditors ("**Scheme**").

2. An Affidavit in support of the captioned Company Petition has been sworn by Mr. Rakesh Pandya, Authorized Representative of the Petitioner Company and the same is annexed to the Company Petition. The abovenamed Authorized Representative for the Petitioner Company has been authorized *vide* Board Resolution dated 27th December 2022 passed by the Petitioner Company.

3. From the records, it is seen that the Petitioner Company had filed Company Application No. C.A.(CAA)/5(AHM)2023 i.e. first motion application, before this Tribunal. The Petitioner Company had *inter alia* submitted that: (i) in view of the consents by way of affidavits from all the equity shareholders being filed with the captioned Company Application, the meeting of the equity shareholders of the Petitioner Company be

dispensed with; (ii) in view of the consent by way of affidavit from the sole preference shareholder being filed with the captioned Company Application, the meeting of the preference shareholder of the Petitioner Company be dispensed with; (iii) in view of the consents by way of affidavits from all the secured creditors being filed with the captioned Company Application, the meeting of the secured creditors of the Petitioner Company be dispensed with; and (iv) in view of the consents by way of affidavits from the unsecured creditors of the Petitioner Company having 93.92% of the outstanding value being filed with the captioned Company Application, the meeting of the unsecured creditors of the Petitioner Company be dispensed with. The captioned Company Application was allowed.

4. By an order dated 8th February 2023 passed in Company Application No. C.A.(CAA)/5(AHM)2023, this Tribunal dispensed with the meetings of the equity shareholders, sole preference shareholder, secured creditors and unsecured creditors of the Petitioner Company.

5. This Tribunal further directed the Petitioner Company to serve notice in compliance with Section 230(5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in Form 'CAA-3' upon: (i) the Central Government through the Regional Director, North Western Region, Ministry of Corporate Affairs ("**Regional Director**"); (ii) the Registrar of Companies, Gujarat, Ahmedabad ("**Registrar of Companies**"); and (iii) the Income Tax Authority concerned, stating that representations to the Scheme, if any, be made within a period of 30 days from the date of receipt of such notice and in case no representation is received by the Tribunal within the stipulated period of 30 days, it should be presumed that the regulatory authorities have no representation to make.

6. In compliance with the directions of this Tribunal passed in Company Application No. C.A.(CAA)/5(AHM)2023, the Petitioner Company has served notice in compliance with Section 230(5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and

Amalgamations) Rules, 2016 in Form 'CAA-3' upon the: (i) the Regional Director; (ii) the Registrar of Companies; and (iii) the Income Tax Authority concerned. The Petitioner Company has filed an affidavit with this Tribunal confirming service of notice on the aforesaid authorities.

7. The Petitioner Company has filed the present Company Petition No. C.P.(CAA)/5(AHM)2023 before this Tribunal seeking sanction of the Scheme.

8. This Tribunal *vide* its order dated 15th February 2023 passed an order admitting the Company Petition and directed the Petitioner Company to: (i) advertise notice of hearing of the captioned Company Petition in 'Indian Express' in English and in 'Sandesh' in Gujarati, both having circulation in Ahmedabad; and (ii) issue notice informing the date of hearing of the captioned Company Petition upon: (a) the Regional Director; (b) Registrar of Companies; and (c) Income Tax Authority concerned. The Petitioner Company has filed compliance affidavit in connection with the same.

9. The Regional Director has filed its representation dated 10th March 2023 stating its observations on the Scheme with the Tribunal ("**Representation of the Regional Director**"). The Report of the Registrar of Companies, Ahmedabad dated 27th February 2023 ("**ROC Report**") is annexed to the representation made by the Regional Director. A bare perusal of the Representation of the Regional Director would show that except the observations stated in Paragraphs 2(c), 2(d) and 2(i) of the Representation of the Regional Director and Paragraphs 14(2) to 14(6) of the ROC Report, all other observations as stated in Paragraphs 2(a) to (i) of the Representation of the Regional Director and Paragraph 14(1) of the ROC Report are factual in nature.

10. The Petitioner Company *vide* its Affidavit dated 10th March 2023 in reply to the said observations of the Regional Director states as follows:

(a) As far as the observation stated by the Regional Director in Paragraph 2(c) of the Representation of the Regional Director is

concerned, the Petitioner Company states that, the Petitioner Company will comply with Section 232(3)(i) of the Companies Act, 2013 and pay the difference in fees, if any, to enhance its authorized share capital in accordance with Clause 9 of the Scheme.

(b) As far as the observation stated by the Regional Director in Paragraph 2(d) of the Representation of the Regional Director is concerned, the Petitioner Company confirms that Clause 9 of the Scheme provides only for the combination of authorized share capital of Amalgamating Company 1 with the Petitioner Company upon the Scheme coming into effect. Since the authorized share capital of the Amalgamating Company 2 is only INR 5,00,000 (Indian Rupees Five Lakh only), the parties to the Scheme in their commercial wisdom did not deem it necessary to provide for the combination of authorized share capital of the Amalgamating Company 2 with the Petitioner Company upon the Scheme coming into effect.

(c) As far as the observation stated by the Regional Director in Paragraph 2(i) of the Representation of the Regional Director is concerned, the Petitioner Company states that, the Petitioner Company will pay necessary fees as may be directed by this Hon'ble Tribunal, to the office of the Regional Director for submitting the Representation of the Regional Director and representing on behalf of the Central Government in relation to the Scheme.

11. The Petitioner Company *vide* their Affidavit dated 10th March 2023 in reply to the said observations of the Registrar of Companies state as follows:

a. As far as the observation made in Paragraph 14(2) of the ROC Report is concerned, the Petitioner Company states that, the Petitioner Company will comply with Section 232(3)(i) of the Companies Act, 2013 and pay the difference in fees, if any, to

enhance its authorized share capital in accordance with Clause 9 of the Scheme.

b. As far as the observation made in Paragraph 14(3) of the ROC Report is concerned, the Petitioner Company states that, the Petitioner Company is the surviving entity and it will continue to maintain and preserve its books of accounts, papers and records as per applicable law. The Petitioner Company further states that after effectiveness of the Scheme, the Petitioner Company undertakes to preserve the books of accounts, papers and records of the Amalgamating Company 1 and the Amalgamating Company 2 and the said books of accounts, papers and records of the Amalgamating Company 1 and the Amalgamating Company 2 shall not be disposed of without the prior permission of the Central Government as required under Section 239 of the Companies Act, 2013.

c. As far as the observation made in Paragraph 14(4) of the ROC Report is concerned, the Petitioner Company states that, the Petitioner Company is the surviving entity and it will ensure statutory compliance under applicable laws and after effectiveness of the Scheme it will not be absolved of any of its statutory liabilities in any manner and they shall be paid as per applicable law. The Petitioner Company further states that all liabilities including statutory liabilities of the Amalgamating Company 1 and Amalgamating Company 2 shall stand transferred to the Petitioner Company and the same will be paid by the Petitioner Company in ordinary course of business and as per applicable law.

d. As far as the observation made in Paragraph 14(5) of the ROC Report is concerned, the Petitioner Company states that, the Petitioner Company undertakes to pay the necessary stamp duty on the Scheme to the relevant stamp authority in accordance with the applicable stamp act/ laws.

e. As far as the observation made in Paragraph 14(6) of the ROC Report is concerned, the Petitioner Company undertakes to file a certified copy of the Order and the Scheme with the Registrar of Companies concerned, electronically, along with Form INC-28 within 30 days from the date of issuance of the certified copy of the Order and the Scheme by this Hon'ble Tribunal as per relevant provisions of the Companies Act, 2013.

12. Heard Mr. Saurabh Soparkar, Learned Senior Counsel along with Mr. Ravi Pahwa, Ld. Advocate for M/s. Thakkar and Pahwa, Advocates for the Petitioner Company.

13. An affidavit dated 10th February 2023 sworn on behalf of the Petitioner Company by Shri Rakesh Pandya (Pg. 182 of the Company Petition), Authorized Signatory of the Petitioner Company has been placed on record, stating that no investigation or proceedings under Sections 210 to 227 of the Companies Act, 2013 have been instituted or are pending in relation to the Petitioner Company.

14. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, the Petitioner Company has obtained a certificate from its Statutory Auditor to the effect that the accounting treatment specified in the Scheme is in conformity with the Indian accounting standards prescribed under Section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules, 2015.

15. The Learned Counsel for the Income Tax Department has made a statement that the Income Tax Department has no objection if the Scheme is approved by this Tribunal. However, the income tax department reserves its rights to invoke the provisions of Income-tax Act, 1961 in any proceedings subsequent to the amalgamation and bring to tax any income arising as a result of the said Scheme.

16. The Petitioner Company submits that as per the Scheme approved by the Board of Directors of the Petitioner Company on 27th December 2022, the Appointed Date 1 of the Scheme was fixed as "*opening business*

hours of January 01, 2023 or such other date as may be approved by the Board of the Amalgamating Company 1 and the Amalgamated Company". The Board of Directors of Amalgamating Company 1, Amalgamating Company 2 and the Petitioner Company have on March 11, 2023 modified the Scheme to provide that the Appointed Date 1 shall be "December 22, 2022." A copy of the Scheme with the revised Appointed Date 1 has been placed on record by the Petitioner Company *vide* its affidavit dated March 11, 2023. The Learned Counsel for the Petitioner Company further submits that there is no change in shareholding of the Amalgamating Company 1, Amalgamating Company 2 and the Petitioner Company as on date of approving the original scheme and the modified Scheme with the revised Appointed Date 1.

17. Heard the learned counsel for the petitioner. He submits that, Hon'ble National Company Law Tribunal, Mumbai Bench has granted its sanction to the modified Scheme *vide* its order dated May 11, 2023 passed in Company Scheme Petition No. C.P.(CAA)/46/MB/2023.

18. It is noted that an application under Section 7 of the IBC was filed against the amalgamating Company No. 1(RITL) and the CIRP was initiated against it vide order dated 15.05.2018. Following the CIRP process the resolution plan submitted by the amalgamated company (RPPMSL) was approved by the Committee of Creditors and subsequently by the Tribunal (NCLT Mumbai) vide order dated 3.12.2020. As such in terms of the resolution plan the unpaid liabilities would get extinguished. While perusing the financial statements as placed on record vide purshis dated 26.07.2023, it is noted that financial statement of the amalgamating Company No. 1 i.e., RITL is for the financial year 2021-22 and as per the balance sheet dated 31.03.2022, the total carried forward losses are shown at Rs 5010 Crores and after adjusting the capital reserve, security premium and general reserve against those losses, the net carried forward loss is shown at Rs. 2004 Crores. Since all these balances shown in the balance sheet dated 31.03.2022 is after the plan was approved in the year 2020 by the Adjudicating Authority, we enquired if carried forward losses

were also allowed while passing the resolution plan. To this vide an affidavit dated 27.07.2023, it has been stated that the carried forward business losses of RITL on 22nd December, 2022 was Rs 97 Crore pertaining to AY 2021-22; and that the petitioner company (RPPMSL) and RITL are not engaged in manufacturing activities therefore that business loss of Rs. 97 Crore would lapse and will not be carried forward to the petitioner company upon amalgamation. It has been further stated that in any event, the Income Tax Department has the right to examine the availability or otherwise of the aforesaid carried forward business loss of RITL at the time of assessment of RITL or the petitioner (amalgamated) company, as the case may be under the provisions of the Income Tax Act, 1961. Though no straight answer to the query, as to whether such carried forward losses were allowed as a part of relief and concession while approval of the resolution plan, has been given in the affidavit but the learned counsel while representing the case had stated clearly that no such relief was granted. In the context on perusal of the order dated 11.05.2023, whereby the NCLT Mumbai Bench has approved the scheme in respect of the amalgamating Company No.1 and amalgamating Company No. 2, it is noted that while giving clarification to the observation of the RoC, it was stated that though the resolution plan was approved on 3.12.2020, but pursuant to implementation of the resolution plan, 100% control and ownership of the amalgamating Company No.1 was acquired by the petitioner/amalgamated company on 22.12.2022 only. Thus, in terms of the resolution plan, the financial statement of RITL as on the Appointed Date-1, which is also 22.12.2022, will have to be prepared. Needless to say, the carried forward losses for the period prior to takeover following the CIRP and the unpaid liabilities, if any, which are extinguished, will have to be taken out of such financial statement before preparing the financial statement of the amalgamated company after the approval of the scheme.

19. Supreme Court Miheer H. Mafatlal Vs Mafatlal Industries Ltd JT 1996 (8) 205 while considering the scope of the jurisdiction of the

Company Court in respect of matters of sanction of the scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956, observed as under:

> "*It is the commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom exercised by the creditors and members of the company who have ratified the scheme by the requisite majority. Consequently, the Company Court's jurisdiction to that extent is peripheral and supervisory and not appellate.*"

In view of the law laid down by the Supreme Court, this Tribunal is not supposed to examine the merits/benefits of the commercial wisdom of the decision of the shareholders etc.

20. We have heard the submission made by the learned counsel and perused documents placed on record. Considered the approval accorded by the equity shareholders, sole preference shareholder, secured creditors and unsecured creditors of the Petitioner Company to the proposed Scheme and the representations and reports filed by the respective regulatory authorities. Consequently, sanction is hereby granted to the modified Scheme filed by the Petitioner Company under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 as annexed to the Affidavit dated March 11, 2023.

21. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way

of action being taken, albeit, in accordance with law, against the concerned persons and officials of the Petitioner Company.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law.

23. The Composite Scheme of Amalgamation of Reliance Infratel Limited and Reliance SMSL Limited with Reliance Projects & Property Management Services Limited and their respective shareholders and creditors with Appointed Date 1 as 'December 22, 2022" and the Appointed Date 2 as 'close of business hours of March 31, 2023 or such other date as may be approved by the Board of the Amalgamating Company 2 and the Amalgamated Company' ("**Modified Scheme**") is sanctioned with following directions:

(a) The Modified Scheme as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared binding upon the Petitioner Company and its shareholders and creditors and all concerned under the Modified Scheme.

(b) All the assets, properties, rights and powers of the Amalgamating Company 1 and the Amalgamating Company 2 be transferred without further act or deed to the Petitioner Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Petitioner Company.

(c) The Amalgamating Company 1 and Amalgamating Company 2 are wholly owned subsidiaries of the Petitioner Company i.e. Amalgamated Company, therefore, there shall be no issue of shares as consideration for the Modified Scheme.

(d) All proceedings, if any, now pending or against the Amalgamating Company 1 and Amalgamating Company 2 be continued by or against the Petitioner Company.

(e) Upon the Modified Scheme being effective, the Authorised Capital of the Amalgamating Company 1 shall be consolidated with the Authorised Capital of the Petitioner Company as envisaged under Clause 9 of the Modified Scheme.

(f) All concerned regulatory authorities to act on the copy of this order along with the Modified Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Modified Scheme immediately.

(g) The Petitioner Company is directed to lodge a certified copy of this Order and the Modified Scheme, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the receipt of the certified copy of this Order.

(h) The Petitioner Company is further directed to file a copy of this order along with the copy of the Modified Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(i) The legal fees and expenses of the office of the Regional Director are quantified at Rs.15,000/-in respect of the Petitioner Company. The said fees to the Regional Director shall be paid by the Petitioner Company.

(j) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the scheme

and if it is found that the scheme of arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action as per law. Any sanction of the scheme of arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of the Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

(k) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

24. The Company Petition No. C.P.(CAA)/5(AHM)2023 in Company Application No. C.A.(CAA)/5(AHM)2023 is disposed of. No order as to costs.

-Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Narendra S. Tomar/Steno

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6

Annexure-A

COMPOSITE SCHEME OF AMALGAMATION

OF

RELIANCE INFRATEL LIMITED

AND

RELIANCE SMSL LIMITED

WITH

RELIANCE PROJECTS & PROPERTY MANAGEMENT SERVICES LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

(A) PREAMBLE

This Scheme *(as defined hereinafter)* provides for:

(i) amalgamation of the Amalgamating Company 1 with the Amalgamated Company (*as defined hereinafter*) pursuant to Sections 230 to 232 and other applicable provisions of the Act (*as defined hereinafter*) after reduction of capital of the Amalgamating Company 1 *(as defined hereinafter)* consequent to adjustment of the debit balance in the profit and loss account/ retained earnings against the capital reserve and securities premium account;

(ii) amalgamation of the Amalgamating Company 2 *(as defined hereinafter)* with the Amalgamated Company pursuant to Sections 230 to 232 and other applicable provisions of the Act; and

(iii) various other matters consequent and incidental thereto.

Pursuant to the Scheme and Sections 230 to 232 and other applicable provisions of the Act, the Amalgamating Companies *(as defined hereinafter)* will cease to exist as separate legal entities.

(B) DESCRIPTION OF COMPANIES

1. **Reliance Infratel Limited** is a company incorporated under the provisions of the Companies Act, 1956 (hereinafter referred to as "**RITL**" or ""**Amalgamating Company 1**"). RITL builds, owns and operates telecommunication towers, optic fibre cable and other assets and provide these passive telecommunication infrastructure assets on a shared basis to wireless service providers and other telecommunication service providers under long term contracts. The equity shares of RITL are not listed on stock exchanges. RITL is a wholly owned subsidiary of RPPMSL.

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

2. **Reliance SMSL Limited** is a company incorporated under the provisions of the Companies Act, 1956 (hereinafter referred to as "**RSMSL**" or ""**Amalgamating Company 2**"). RSMSL is engaged in the business of providing integrated manpower solutions including sourcing, recruitment, training, engagement and staffing services to other companies. The equity shares of RSMSL are not listed on stock exchanges. RSMSL is a wholly owned subsidiary of RPPMSL.

3. **Reliance Projects & Property Management Services Limited** is a company incorporated under the Act (hereinafter referred to as "**RPPMSL**" or "**Amalgamated Company**"). RPPMSL centralises group support services and skills and competencies required for these services across group entities, their service providers and consumers. These include IT/ITES, manpower, project and property management and erection, commissioning and installation. The equity shares of RPPMSL are not listed on stock exchanges.

(C) RATIONALE

1. RITL is into the business of passive telecommunication infrastructure. By order dated May 15, 2018, the Tribunal (*as defined hereinafter*) initiated the corporate insolvency resolution process ("**CIRP**") against RITL under the provisions of the Insolvency and Bankruptcy Code, 2016 ("**Code**"). The resolution plan submitted by RPPMSL ("**Resolution Plan**") was approved by the committee of creditors and by the Tribunal vide its order dated December 3, 2020. Pursuant to implementation of the Resolution Plan, 100% control and ownership of RITL was acquired by RPPMSL on December 22, 2022. It is now proposed that, the entire business of RITL should be undertaken in RPPMSL itself. Hence it has been decided to amalgamate RITL with RPPMSL.

2. RPPMSL has acquired RITL under the CIRP. Prior to RITL's amalgamation with RPPMSL, it is proposed that the losses for the period prior to acquisition as well as any losses arising on account of adjustments under the Resolution Plan are adjusted against the capital reserve and securities premium account of RITL so that the balance sheet prior to amalgamation represents the true financial picture of RITL.

3. RPPMSL is in the business of providing various services including manpower services. RSMSL is a wholly owned subsidiary of RPPMSL and is also engaged in the business of providing manpower services. It is proposed to amalgamate RSMSL with RPPMSL to consolidate the manpower services business within a single entity with a view to achieve operational synergies and efficiency in administrative functions.

4. The Scheme will result in the following benefits:

   (a) Cost savings through legal entity rationalisation;

   (b) Reduction of administrative responsibilities, multiplicity of records and legal & regulatory compliances;

   (c) The merger of the Amalgamating Companies with the Amalgamated Company will result in operational synergies resulting in cost optimization;

   (d) Pooling of resources of the Amalgamating Companies with those of the Amalgamated Company; and

   (e) To provide a strong financial structure to all stakeholders of the

Amalgamating Companies.



The Scheme is in the interest of the Amalgamating Companies, the Amalgamated Company and their respective stakeholders.

PARTS OF THE SCHEME

The Scheme is divided into the following parts:

1. **PART I** deals with the definitions of capitalized terms used in this Scheme, the details of the share capital of the Parties (*as defined hereinafter*) and date of taking effect and implementation of this Scheme;

2. **PART II** deals with amalgamation of RITL with RPPMSL and other related matters;

3. **PART III** deals with amalgamation of RSMSL with RPPMSL and other related matters; and

4. **PART IV** deals with the general terms and conditions applicable to this Scheme.

PART –I

DEFINITIONS, INTERPRETATION, SHARE CAPITAL OF THE PARTIES AND DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

1. DEFINITIONS

1.1 In this Scheme, unless inconsistent with the subject or context thereof (i) capitalised terms defined by inclusion in quotations and/or parenthesis shall have the meanings so ascribed; and (ii) the following expressions shall have the meanings ascribed hereunder:

"**Act**" means the Companies Act, 2013;

"**Amalgamating Companies**" means collectively, RITL and RSMSL;

"**Applicable Law**" or "**Law**" means any applicable national, foreign, provincial, local or other law including applicable provisions of all (a) constitutions, decrees, treaties, statutes, enactments, laws (including the common law), bye-laws, codes, notifications, rules, regulations, policies, guidelines, circulars, clearances, approvals, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, Tribunal; (b) Permits (*as defined hereinafter*); and (c) orders, decisions, writs, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority (*as defined hereinafter*) having jurisdiction over the Parties in each case having the force of law and that is binding or applicable to a Person as may be in force from time to time;

"**Appointed Date 1**" means December 22, 2022;

"**Appointed Date 2**" means close of business hours of March 31, 2023 or such other date as may be approved by the Board of the Amalgamating Company 2 and the Amalgamated Company;



"**Appropriate Authority**" means:

(a) the government of any jurisdiction (including any national, state, municipal or local government or any political or administrative subdivision thereof) and any department, ministry, agency, instrumentality, court, tribunals, central bank, commission or other authority thereof; and

(b) any governmental, quasi-governmental or private body, self-regulatory organisation, or agency lawfully exercising, or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, statutory, licensing, competition, Tax, importing, exporting or other governmental or quasi-governmental authority including without limitation, SEBI, clearing corporations, and the Tribunal;

"**Board**" in relation to the Parties, means the board of directors of such Party, and shall include a committee of directors or any person authorized by such board of directors or such committee of directors;

"**Effective Date**" means last of the dates on which the Tribunal approves the Scheme;

Reference in this Scheme to the date of "**coming into effect of this Scheme**" or "**effectiveness of this Scheme**" or "**effect of this Scheme**" or "**upon the Scheme becoming effective**" shall mean the Effective Date;

"**Income Tax Act**" means the Income-tax Act, 1961;

"**Parties**" means RITL, RSMSL and RPPMSL, collectively and "**Party**" shall mean each of them, individually;

"**Permits**" means all consents, licences, permits, certificates, permissions, authorisations, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, no objections, whether governmental, statutory, regulatory or otherwise as required under Applicable Law;

"**Person**" means an individual, a partnership, a corporation, a limited liability partnership, a limited liability company, an association, a joint stock company, a trust, a joint venture, an unincorporated organization or an Appropriate Authority;

"**Re**" or "**Rs**" or "**Rupee(s)**" means Indian Rupee(s), the lawful currency of the Republic of India;

"**RITL**" or "**Amalgamating Company 1**" means Reliance Infratel Limited, a company incorporated under the provisions of the Companies Act, 1956, having Corporate Identity Number U72900MH2001PLC131598 and its registered office at H Block, 1st Floor, Dhirubhai Ambani Knowledge City, Navi Mumbai, Maharashtra – 400710;

"**RPPMSL**" or "**Amalgamated Company**" means Reliance Projects & Property Management Services Limited, a company incorporated under the provisions of the Act and having Corporate Identity Number U72501GJ2019PLC108755 and registered office at Office-101, Saffron, Near Centre Point, Panchwati 5 Rasta, Ambawadi, Ahmedabad, Gujarat – 380006;

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

"**RSMSL**" or "**Amalgamating Company 2**" means Reliance SMSL Limited, a company incorporated under the provisions of the Act and having Corporate Identity Number U74999MH2007PLC167704 and registered office at 3rd Floor, Court House, Lokmanya Tilak Marg, Dhobi Talao, Mumbai, Maharashtra – 400002;

"**RoC**" means the relevant jurisdictional Registrar of Companies having jurisdiction over the Parties;

"**Scheme**" or "**the Scheme**" or "**this Scheme**" means this composite scheme of amalgamation, as may be modified;

"**Tax Laws**" means all Applicable Laws dealing with Taxes including but not limited to income-tax, wealth tax, sales tax/ value added tax, service tax, goods and service tax, excise duty, customs duty or any other levy of similar nature;

"**Taxation**" or "**Tax**" or "**Taxes**" means all forms of taxes and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions and levies, whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value, goods and services or otherwise and shall further include payments in respect of or on account of Tax, whether by way of deduction at source, collection at source, dividend distribution tax, buyback distribution tax, equalization levy, advance tax, minimum alternate tax, goods and services tax or otherwise or attributable directly or indirectly to any of the Parties and all penalties, charges, costs and interest relating thereto; and

"**Tribunal**" means the relevant bench of the National Company Law Tribunal having jurisdiction over the Parties.

1.2 **Interpretation**

In this Scheme, unless the context otherwise requires:

1.2.1 words denoting the singular shall include the plural and *vice versa*;

1.2.2 headings, sub-headings, titles, sub-titles to clauses, sub-clauses and paragraphs are for information and convenience only and shall be ignored in construing the Scheme;

1.2.3 reference to any law or legislation or regulation shall include amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement, re-enactment, restatement or amendment of, that law or legislation or regulation and shall include the rules and regulations thereunder; and

1.2.4 all terms and words not defined in this Scheme shall unless repugnant or contrary to the context or meaning thereof, have the same meaning as prescribed to them under the Act, Income Tax Act, or any other applicable laws, rules, regulations, bye laws, as the case may be including any statutory modification or re-enactment thereof from time to time.

2. SHARE CAPITAL

2.1 The share capital structure of RITL as on December 27, 2022 is as follows:

Particulars	Amount (in Rs.)
Authorized Share Capital	
750,00,00,000 equity shares of Rs 10 each	7500,00,00,000
50,00,00,000 preference shares of Rs 10 each	500,00,00,000
TOTAL	**8000,00,00,000**
Issued, subscribed and paid-up share capital	
50,00,000 equity shares of Rs 10 each fully paid up	5,00,00,000
TOTAL	**5,00,00,000**

2.2 The share capital structure of RSMSL as on December 27, 2022 is as follows:

Particulars	Amount (in Rs.)
Authorized share capital	
50,000 equity shares of Rs 10 each	5,00,000
TOTAL	**5,00,000**
Issued, Subscribed and Paid-up share capital	
50,000 equity shares of Rs 10 each fully paid up	5,00,000
TOTAL	**5,00,000**

2.3 The share capital structure of RPPMSL as on December 27, 2022 is as follows:

Particulars	Amount (in Rs.)
Authorized share capital	
10,00,20,000 equity shares of Rs 10 each	100,02,00,000
100,59,000,000 preference shares of Rs 10 each	10059,00,00,000
TOTAL	**10159,02,00,000**
Issued, Subscribed and Paid-up share capital	
10,00,00,000 equity shares of Rs 10 each fully paid up	100,00,00,000
9,79,52,40,000 preference shares of Rs 10 each fully paid up	9795,24,00,000
TOTAL	**9895,24,00,000**

3. DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

3.1 Part II of this Scheme in its present form or with any modification(s) made as per Clause 23 of this Scheme, shall become effective from the Appointed Date 1 but shall be operative from the Effective Date.

3.2 Part III of this Scheme in its present form or with any modification(s) made as per Clause 23 of this Scheme, shall become effective from the Appointed Date 2 but shall be operative from the Effective Date.

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

PART - II

AMALGAMATION OF RITL WITH RPPMSL AND OTHER RELATED MATTERS

4. AMALGAMATION AND VESTING OF ASSETS AND LIABILITIES AND ENTIRE BUSINESS OF RITL

4.1 Upon coming into effect of the Scheme, with effect from the Appointed Date 1 and in accordance with the provisions of this Scheme and pursuant to Sections 230 to 232 and other applicable provisions of the Act and Section 2(1B) of the Income Tax Act, RITL shall stand amalgamated with RPPMSL as a *going concern* and all assets and liabilities of RITL shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in RPPMSL, so as to become on and from the Appointed Date 1, the assets and liabilities of RPPMSL by virtue of operation of law, and in the manner provided in this Scheme.

4.2 With respect to the assets and properties of RITL which are movable in nature (including but not limited to plant and machinery and intangible assets) or are otherwise capable of transfer by delivery or possession or by endorsement, shall stand transferred upon coming into effect of this Scheme and shall, *ipso facto* and without any other order to this effect, become the assets and properties of RPPMSL without requiring any deed or instrument of conveyance for transfer of the same.

4.3 With respect to the assets and properties of RITL other than those referred to in Clause 4.2 above, including all rights, title and interests in the agreements (including agreements for lease or license of the properties), investments, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with any Appropriate Authority, customers and other Persons, whether or not the same is held in the name of RITL, the same shall, without any further act, instrument or deed, be transferred to and vested in and/or be deemed to be transferred to and vested in RPPMSL with effect from the Appointed Date 1 by operation of law as transmission in favour of RPPMSL. With regard to assets such as leases or licenses of the properties, RPPMSL will enter into novation agreements, if it is so required.

4.4 In respect of such of the assets and properties of RITL which are immovable in nature, whether or not recorded in the books of RITL, including rights, interest and easements in relation thereto, the same shall stand transferred to and be vested in RPPMSL with effect from the Appointed Date 1, without any act or deed or conveyance being required to be done or executed by RITL and/or RPPMSL.

4.5 For the avoidance of doubt and without prejudice to the generality of Clause 4.4 above and Clause 4.6 below, it is clarified that, with respect to the immovable properties of RITL in the nature of land and buildings, RITL and/ or RPPMSL shall register the true copy of the orders of the Tribunal approving the Scheme with the offices of the relevant Sub-registrar of Assurances or similar registering authority having jurisdiction over the location of such immovable property and shall also execute and register, as required, such other documents which may be necessary in this regard. It is clarified that any document executed pursuant to this Clause 4.5 or Clause 4.6 below will be for the limited purpose of meeting regulatory requirements and shall not be deemed to be a document under which the transfer of any asset of

RITL takes place and all assets of RITL shall be transferred solely pursuant to and in terms of this Scheme and the order of the Tribunal sanctioning this Scheme.

4.6 Notwithstanding anything contained in this Scheme, with respect to the immovable properties of RITL in the nature of land and buildings situated in states other than the state of Maharashtra and Gujarat, whether owned or leased, for the purpose of, *inter alia*, payment of stamp duty, and vesting in RPPMSL, if RPPMSL so decides, RITL and/ or RPPMSL, may execute and register or cause so to be done, separate deeds of conveyance or deeds of assignment of lease, as the case may be, in favour of RPPMSL in respect of such immovable properties. Each of the immovable properties, only for the purposes of payment of stamp duty (if required under Applicable Law), shall be deemed to be conveyed at a value as determined by the relevant authorities in accordance with the applicable circle rates. The transfer of such immovable properties shall form an integral part of this Scheme.

4.7 Upon effectiveness of the Scheme, all debts, liabilities, debentures, loans, obligations and duties of RITL as on the Appointed Date 1 shall, without any further act or deed, be and stand transferred to and be deemed to be transferred to RPPMSL to the extent that they are outstanding as on the Appointed Date 1 and RPPMSL shall meet, discharge and satisfy the same.

4.8 Unless otherwise agreed to between RITL and RPPMSL, the vesting of all the assets of RITL, as aforesaid, shall be subject to encumbrances, if any, over or in respect of any of the assets or any part thereof, provided however that such encumbrances shall be confined only to the relevant assets of RITL or part thereof on or over which they are subsisting on and no such encumbrances shall extend over or apply to any other asset(s) of RPPMSL. Any reference in any security documents or arrangements (to which RITL is a party) related to any assets of RITL shall be so construed to the end and intent that such security shall not extend, nor be deemed to extend, to any of the other asset(s) of RPPMSL. Similarly, RPPMSL shall not be required to create any additional security over the assets vested under this Scheme for any loans, debentures, deposits or other financial assistance already availed of /to be availed of by it, and the encumbrances in respect of such indebtedness of RPPMSL shall not extend or be deemed to extend or apply to the assets so vested.

4.9 If RITL is entitled to any unutilized credits (including accumulated losses and unabsorbed depreciation, book loss and book depreciation, minimum alternate tax credit, withholding tax, advance tax, sales tax, excise duty, customs duty, service tax, value added tax, goods and service tax, other incentives), benefits under the state or central fiscal / investment incentive schemes and policies or concessions under any Tax law or Applicable Law, any subsidies, special status, benefits, privileges granted by Appropriate Authority or by any other Person, RPPMSL shall be entitled, as an integral part of the Scheme, to claim such benefit or incentives or unutilised credits as the case may be without any specific approval or permission. Without prejudice to the generality of the foregoing, in respect of unutilized input credits of goods and service tax and value added tax of RITL, if any, the same shall be transferred to RPPMSL in accordance with the Applicable Law.

4.10 With effect from the Appointed Date 1, all the Permits held or availed of by, and all rights and benefits that have accrued to RITL shall be transferred to RPPMSL, without any further act, instrument or deed and shall be appropriately mutated or endorsed by the Appropriate Authorities concerned therewith in favour of RPPMSL as if the

same were originally given by or issued to or executed in favour of RPPMSL and RPPMSL shall be bound by the terms, obligations and duties thereunder and the rights and benefits under the same shall be available to RPPMSL to carry on the operations of RITL without any hindrance, whatsoever.

4.11 On coming into effect of this Scheme, without any further act or deed and subject to the provisions of this Scheme, all contracts, deeds, bonds, agreements, engagements, arrangements and other instruments (including all licences and other assurances in favour of RITL or powers or authorities granted by or to it) for establishment and installation of telecommunications towers and other assets pertaining of RITL and those relating to tenancies, privileges, powers, facilities of every kind and description of whatsoever nature to which RITL is a party or to the benefit of which RITL may be eligible, or under which RITL has any obligations to discharge and which are subsisting or having effect shall, without any further act, instrument or deed, continue in full force and effect in favour of or against RPPMSL and may be enforced as fully and effectually as if, instead of RITL, RPPMSL had been a party or beneficiary or obligee or obligor thereto or thereunder.

4.12 On and from the Effective Date and till such time that the name(s) of the bank accounts of RITL have been replaced with that of RPPMSL, RPPMSL shall be entitled to maintain and operate the bank accounts of RITL in the name of RITL for such time as may be determined to be necessary by RPPMSL. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of RITL after the Effective Date shall be accepted by the bankers of RPPMSL and credited to the account of RPPMSL, if presented by RPPMSL.

4.13 Without prejudice to the provisions of the foregoing sub-clauses of this Clause 4 and upon the effectiveness of this Scheme, RITL and RPPMSL may execute any and all instruments or documents and do all the acts, deeds and things as may be required, including filing of necessary particulars and/ or modification(s) of charge, necessary applications, notices, intimations or letters with any Appropriate Authority or Person to give effect to the Scheme

5. EMPLOYEES

5.1 With effect from the Effective Date, all employees of RITL shall become employees of RPPMSL on terms and conditions no less favourable than those on which they are engaged by RITL without interruption in service.

5.2 The accumulated balances, if any, standing to the credit of and in favour of the aforesaid employees in the existing provident fund, gratuity fund, superannuation fund and any other fund of which they are members, as the case may be, will be transferred to the respective funds of RPPMSL set-up in accordance with Applicable Law and caused to be recognized by the Appropriate Authorities or to the funds nominated by the Amalgamated Company. Pending the transfer as aforesaid, the dues of the said employees would continue to be deposited in the existing provident fund, gratuity fund, superannuation fund and other fund respectively of RITL and such funds shall be held for the benefit of the employees transferred under the Scheme.

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6. **LEGAL PROCEEDINGS**

6.1 If any suit, cause of actions, appeal or other legal, quasi-judicial, arbitral or other administrative proceedings of whatever nature (hereinafter called the "**Proceedings of RITL**") by or against RITL are pending on the Effective Date (other than the legal proceedings that stands abated, withdrawn, disposed, extinguished, etc. in terms of the Resolution Plan, as approved by the Tribunal), the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the amalgamation or of anything contained in this Scheme, but the Proceedings of RITL may be continued, prosecuted and enforced by or against RPPMSL in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against RITL as if this Scheme had not been made. On and from the Effective Date, RPPMSL may initiate any legal proceeding(s) for and on behalf of RITL.

6.2 From the Appointed Date 1 and until the Effective Date, RITL shall defend all legal proceedings, other than in the ordinary course of business, with the advice and instructions of RPPMSL.

7. **CONSIDERATION**

7.1 RITL is a wholly owned subsidiary of RPPMSL and therefore there shall be no issue of shares as consideration for the amalgamation of RITL with RPPMSL.

7.2 Upon the Scheme becoming effective, all equity shares of RITL held by RPPMSL along with its nominees, shall stand cancelled without any further application, act, instrument or deed and be of no effect without any necessity of them being surrendered.

8. **ACCOUNTING TREATMENT**

RPPMSL shall comply with generally accepted accounting practices in India, provisions of the Act and accounting standards as notified by Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time, in relation to the underlying transactions in the Scheme including but not limited to the following:

With effect from the Appointed Date 1 and upon Part II of the Scheme coming into effect, RPPMSL shall account for the amalgamation of RITL in its books of account in the following manner:

8.1 All assets and liabilities (including reserves and surplus) of RITL shall be accounted in the books of accounts of RPPMSL at their carrying amounts as per the 'pooling of interest method' prescribed under Appendix – C of Indian Accounting Standard (Ind AS) 103 - "Business Combination."

8.2 Inter-company balances, if any, shall stand cancelled.

8.3 If the accounting policies adopted by RITL are different from those adopted by RPPMSL, the assets, liabilities, reserves and surplus of RITL shall be accounted in the books of RPPMSL adopting uniform accounting policies consistent with the Companies (Indian Accounting Standards) Rules, 2015.

8.4 Any change effected in the carrying amounts of the assets, liabilities, reserves and surplus of RITL pursuant to Clause 8.3 above, shall be reflected under the head 'Other

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Equity' in RPPMSL with appropriate disclosures as required under Indian Accounting Standard – 8 "Accounting Policies, Changes in Accounting Estimates and Errors."

8.5 The net difference, if any, between (i) the book value of assets, liabilities, reserves and surplus of RITL as recorded in the books of RPPMSL as on the Appointed Date 1, after giving effect to Clauses 8.3 and 8.4 above, and (ii) the carrying value of investment in the equity shares of RITL in the books of RPPMSL, shall be accounted in the capital reserve by RPPMSL.

9. COMBINATION OF AUTHORISED SHARE CAPITAL

9.1 Upon the Scheme becoming effective, the authorised share capital of RPPMSL shall stand increased without any further act, instrument or deed on the part of RPPMSL including payment of stamp duty and fees to RoC, by the authorised share capital of RITL amounting to Rs 8000,00,00,000 (Indian Rupees Eight thousand crore only) and the memorandum of association and articles of association of RPPMSL (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended, and approval to the Scheme by the shareholders of RITL and the Tribunal shall be deemed to be sufficient for the purposes of effecting this amendment, and no further resolution(s) under the applicable provisions of the Act would be required to be separately passed, as the case may be, and for this purpose the stamp duty, fees paid to RoC and any other fees paid on the authorized capital of RITL shall be utilized and applied to the increased authorized share capital of RPPMSL and there would be no requirement for any further payment of stamp duty, fees to RoC and/or any other fee by RPPMSL for increase in the authorised share capital to that extent.

9.2 Consequentially, Clause V of the memorandum of association of RPPMSL shall without any act, instrument or deed be and stand altered, modified and amended to reflect the combined authorised share capital as per Clause 9.1 above, pursuant to Sections 13,14,61,64 and other applicable provisions of the Act as follows:

"The Authorised Share Capital of the Company is Rs. 18159,02,00,000 (Rupees Eighteen Thousand One Hundred Fifty Nine Crore Two Lakh only) divided into Rs. 2100,02,00,000 (Rupees Two Thousand One Hundred Crore Two Lakh only) comprising of 210,00,20,000 (Two Hundred and Ten Crore Twenty Thousand) Equity Shares of Rs. 10/- and Rs. 16059,00,00,000 (Rupees Sixteen Thousand and Fifty Nine Crore only) comprising of 1605,90,00,000 (One Thousand Six Hundred and Five Crore Ninety Lakh) Preference Shares of Rs. 10/- each with power to increase or reduce the capital of the Company and to divide the shares in the capital for the time being into several classes and to attach thereto respectively such preferential, deferred, qualified or special rights, privileges or conditions as may be determined by or in accordance with the Articles of Association of the Company and to vary, modify, amalgamate or abrogate any such rights, privileges or conditions in such manner as may be for the time being provided by the Articles of Association of the Company."

9.3 For the avoidance of doubt, it is clarified that, in case, the authorised share capital of RITL and/ or RPPMSL, as the case may be, undergoes any change, either as a consequence of any corporate actions or otherwise, then Clause 9.2 shall automatically stand modified/ adjusted accordingly to take into account the effect of such change.

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9.4 It is clarified that the approval of the members of RPPMSL to the Scheme shall be deemed to be their consent/ approval also to the alteration of the memorandum and articles of association of RPPMSL as may be required under the Act.

10. REDUCTION OF CAPITAL OF RITL

10.1 Upon the Scheme coming into effect and immediately prior to the giving effect to the merger of RITL with RPPMSL as contemplated in Clause 4, the debit balance of the profit and loss account/ retained earnings appearing in the books of accounts of RITL as on Appointed Date 1 shall be adjusted first against the balance in the capital reserve account and then against the balance in the securities premium account, to the extent available.

10.2 The reduction of capital reserve and securities premium of RITL, as stated in Clause 10.1 above, shall be effected as an integral part of this Scheme itself, and the order of the Tribunal sanctioning this Scheme shall confirm the reduction and reorganization of capital of the Company.

10.3 It is clarified that the consent of the members of RITL to this Scheme, shall be deemed to be their consent/approval for the reduction of capital reserve and securities premium of RITL under applicable provisions of the Act.

10.4 Notwithstanding the reduction in the securities premium of RITL, RITL shall not be required to add "And Reduced" as suffix to its name.

PART – III

AMALGAMATION OF RSMSL WITH RPPMSL AND OTHER RELATED MATTERS

11. AMALGAMATION/TRANSFER AND VESTING OF ASSETS AND LIABILITIES AND ENTIRE BUSINESS OF RSMSL

11.1 With effect from the Appointed Date 2 and subject to the provisions of this Scheme and pursuant to Sections 230 to 232 and other applicable provisions of the Act, if any, RSMSL shall stand amalgamated with RPPMSL as a *going concern* and all assets and liabilities of RSMSL shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in RPPMSL, so as to become on and from the Appointed Date 2, the assets and liabilities of RPPMSL by virtue of operation of law, and in the manner provided in this Scheme.

11.2 With respect to the assets and properties of RSMSL which are movable in nature (including but not limited to plant and machinery and intangible assets) or are otherwise capable of transfer by delivery or possession or by endorsement, shall stand transferred upon coming into effect of this Scheme and shall, *ipso facto* and without any other order to this effect, become the assets and properties of RPPMSL without requiring any deed or instrument of conveyance for transfer of the same.

11.3 With respect to the assets of RSMSL other than those referred to in Clause 11.2 above, including all rights, title and interests in the agreements (including agreements for lease or license of the properties), investments, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with any Appropriate Authority, customers and other Persons, whether or not the same is held

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in the name of RSMSL, the same shall, without any further act, instrument or deed, be transferred to and vested in and/or be deemed to be transferred to and vested in RPPMSL with effect from the Appointed Date 2 by operation of law as transmission in favour of RPPMSL. With regard to assets such as leases or licenses of the properties, RPPMSL will enter into novation agreements, if it is so required.

11.4 Upon effectiveness of the Scheme, all debts, liabilities, debentures, loans, obligations and duties of RSMSL shall, without any further act or deed, be and stand transferred to and be deemed to be transferred to RPPMSL to the extent that they are outstanding as on the Appointed Date 2 and RPPMSL shall meet, discharge and satisfy the same.

11.5 Unless otherwise agreed to between the RSMSL and RPPMSL, the vesting of all the assets of RSMSL, as aforesaid, shall be subject to the encumbrances, if any, over or in respect of any of the assets or any part thereof, provided however that such encumbrances shall be confined only to the relevant assets of RSMSL or part thereof on or over which they are subsisting on and no such encumbrances shall extend over or apply to any other asset(s) of RPPMSL. Any reference in any security documents or arrangements (to which RSMSL is a party) related to any assets of RSMSL shall be so construed to the end and intent that such security shall not extend, nor be deemed to extend, to any of the other asset(s) of RPPMSL. Similarly, RPPMSL shall not be required to create any additional security over the assets vested under this Scheme for any loans, debentures, deposits or other financial assistance already availed of /to be availed of by it, and the encumbrances in respect of such indebtedness of RPPMSL shall not extend or be deemed to extend or apply to the assets so vested.

11.6 If RSMSL is entitled to any unutilized credits (including accumulated losses and unabsorbed depreciation, book loss and book depreciation, minimum alternate tax credit, withholding tax, advance tax, sales tax, excise duty, customs duty, service tax, value added tax, goods and service tax, other incentives), benefits under the state or central fiscal / investment incentive schemes and policies or concessions under any Tax law or Applicable Law, any subsidies, special status, benefits, privileges granted by Appropriate Authority or by any other Person, RPPMSL shall be entitled, as an integral part of the Scheme, to claim such benefit or incentives or unutilised credits as the case may be without any specific approval or permission. Without prejudice to the generality of the foregoing, in respect of unutilized input credits of goods and service tax and value added tax of RSMSL, if any, the same shall be transferred to RPPMSL in accordance with the Applicable Law.

11.7 With effect from the Appointed Date 2, all the Permits held or availed of by, and all rights and benefits that have accrued to RSMSL shall be transferred to RPPMSL, without any further act, instrument or deed and shall be appropriately mutated or endorsed by the Appropriate Authorities concerned therewith in favour of RPPMSL as if the same were originally given by or issued to or executed in favour of RPPMSL and RPPMSL shall be bound by the terms, obligations and duties thereunder and the rights and benefits under the same shall be available to RPPMSL to carry on the operations of RSMSL without any hindrance, whatsoever.

11.8 On coming into effect of this Scheme, without any further act or deed and subject to the provisions of this Scheme, all contracts, deeds, bonds, agreements, engagements, arrangements and other instruments (including all licences and other assurances in favour of RSMSL or powers or authorities granted by or to it) of whatsoever nature to

which RSMSL is a party or to the benefit of which RSMSL may be eligible, or under which RSMSL has any obligations to discharge and which are subsisting or having effect shall, without any further act, instrument or deed, continue in full force and effect in favour of or against RPPMSL and may be enforced as fully and effectually as if, instead of RSMSL, RPPMSL had been a party or beneficiary or obligee or obligor thereto or thereunder.

11.9 On and from the Effective Date and till such time that the name(s) of the bank accounts of RSMSL have been replaced with that of RPPMSL, RPPMSL shall be entitled to maintain and operate the bank accounts of RSMSL in the name of RSMSL for such time as may be determined to be necessary by RPPMSL. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of RSMSL after the Effective Date shall be accepted by the bankers of RPPMSL and credited to the account of RPPMSL, if presented by RPPMSL.

11.10 Without prejudice to the provisions of the foregoing sub-clauses of this Clause 11 and upon the effectiveness of this Scheme, RSMSL and RPPMSL may execute any and all instruments or documents and do all the acts, deeds and things as may be required, including filing of necessary particulars and/ or modification(s) of charge, necessary applications, notices, intimations or letters with any Appropriate Authority or Person to give effect to the Scheme.

12. EMPLOYEES

12.1 With effect from the Effective Date, all employees of RSMSL shall become employees of RPPMSL on terms and conditions no less favourable than those on which they are engaged by RSMSL without interruption in service.

12.2 The accumulated balances, if any, standing to the credit of and in favour of the aforesaid employees in the existing provident fund, gratuity fund, superannuation fund and any other fund of which they are members, as the case may be, will be transferred to the respective funds of RPPMSL set-up in accordance with Applicable Law and caused to be recognized by the Appropriate Authorities or to the funds nominated by the Amalgamated Company. Pending the transfer as aforesaid, the dues of the said employees would continue to be deposited in the existing provident fund, gratuity fund, superannuation fund and other fund respectively of RSMSL and such funds shall be held for the benefit of the employees transferred under the Scheme.

13. LEGAL PROCEEDINGS

13.1 If any suit, cause of actions, appeal or other legal, quasi-judicial, arbitral or other administrative proceedings of whatever nature (hereinafter called the "**Proceedings of RSMSL**") by or against RSMSL are pending on the Effective Date, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the amalgamation or of anything contained in this Scheme, but the Proceedings of RSMSL may be continued, prosecuted and enforced by or against RPPMSL in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against RSMSL as if this Scheme had not been made. On and from the Effective Date, RPPMSL may initiate any legal proceeding(s) for and on behalf of RSMSL.

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13.2 From the Appointed Date 2 and until the Effective Date, RSMSL shall defend all legal proceedings, other than in the ordinary course of business, with the advice and instructions of RPPMSL.

14. CONSIDERATION

14.1 RSMSL is a wholly owned subsidiary of RPPMSL and therefore there shall be no issue of shares as consideration for the amalgamation of RSMSL with RPPMSL.

14.2 Upon the Scheme becoming effective, all equity shares of RSMSL held by RPPMSL along with its nominees, shall stand cancelled without any further application, act, instrument or deed and be of no effect without any necessity of them being surrendered.

15. ACCOUNTING TREATMENT

RPPMSL shall comply with generally accepted accounting practices in India, provisions of the Act and accounting standards as notified by Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time, in relation to the underlying transactions in the Scheme including but not limited to the following:

With effect from the Appointed Date 2 and upon Part III of the Scheme coming into effect, RPPMSL shall account for the amalgamation of RSMSL in its books of account in the following manner:

15.1 All assets and liabilities (including reserves and surplus) of RSMSL shall be accounted in the books of accounts of RPPMSL at their carrying amounts as per the 'pooling of interest method' prescribed under Appendix – C of Indian Accounting Standard (Ind AS) 103 - "Business Combination."

15.2 Inter-company balances, if any, shall stand cancelled.

15.3 If the accounting policies adopted by RSMSL are different from those adopted by RPPMSL, the assets, liabilities, reserves and surplus of RSMSL shall be accounted in the books of RPPMSL adopting uniform accounting policies consistent with the Companies (Indian Accounting Standards) Rules, 2015.

15.4 Any change effected in the carrying amounts of the assets, liabilities, reserves and surplus of RSMSL pursuant to Clause 15.3 above, shall be reflected under the head 'Other Equity' in RPPMSL with appropriate disclosures as required under Indian Accounting Standard – 8 "Accounting Policies, Changes in Accounting Estimates and Errors."

15.5 The net difference, if any, between (i) the book value of assets, liabilities, reserves and surplus of RSMSL as recorded in the books of RPPMSL as on the Appointed Date 2, after giving effect to Clauses 15.3 and 15.4 above, and (ii) the carrying value of investment in the equity shares of RSMSL in the books of RPPMSL, shall be accounted in the capital reserve by RPPMSL.

PART – IV

GENERAL TERMS & CONDITIONS

16. TAXES/ DUTIES/ CESS

This Scheme has been drawn up to comply with the conditions as specified under Section 2(1B) of the Income Tax Act and other relevant provisions of the Income Tax Act involving as aforesaid. If any of the terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section of the Income Tax Act shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income Tax Act and other relevant provisions of the Income Tax Act. Upon the effectiveness of the Scheme, by operation of law pursuant to the order of the Tribunal:

16.1 Taxes of whatsoever nature including advance tax, self-assessment tax, regular assessment taxes, tax deducted at source, dividend distribution tax, minimum alternative tax, if any, paid by RITL and RSMSL shall be treated as paid by RPPMSL and it shall be entitled to claim the credit, refund, adjustment for the same as may be applicable. Further, any tax deducted at source by RITL/RSMSL/ RPPMSL on payables to RITL/RPPMSL/ RSMSL respectively which has been deemed not to be accrued, shall be deemed to be advance taxes paid by RPPMSL and shall, in all proceedings, be dealt with accordingly.

16.2 Parties are expressly permitted to revise and file their income tax returns and other statutory returns, along with the necessary forms, filings and annexures even beyond the due date, if required, including tax deducted / collected at source returns, service tax returns, excise tax returns, sales tax / value added tax / goods and service tax returns, as may be applicable and has expressly reserved the right to make such provision in its returns and to claim refunds, advance tax credits, credit of tax deducted at source, credit of foreign Taxes paid/withheld, etc. if any, as may be required for the purposes of/consequent to implementation of the Scheme.

16.3 It is hereby clarified that in case of any refunds, benefits, incentives, grants, subsidies, etc., RPPMSL, if so required, shall issue notice in the name of RITL or RSMSL, as the case maybe, in such form as it may deem fit and proper stating that pursuant to the Tribunal having sanctioned this Scheme under Sections 230 to 232 of the Act, the relevant refund, benefit, incentive, grant, subsidies, be paid or made good or held on account of RPPMSL, as the person entitled thereto, to the end and intent that the right of RITL or RSMSL, as the case maybe, to recover or realise the same, stands transferred to RPPMSL.

16.4 Obligation for deduction of tax at source on any payment made by or to be made by RITL and RSMSL, under Tax Laws or other applicable laws / regulations dealing with Taxes/ duties / levies duly complied by RITL and RSMSL shall be made or deemed to have been made and duly complied with by RPPMSL.

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17. **VALIDITY OF EXISTING RESOLUTIONS, ETC.**

Upon this Scheme coming into effect, the resolutions/ power of attorneys/ Letter of Authority(ies) executed either by RITL and RSMSL, as the case may be, as are considered necessary by the Boards of RITL and RSMSL, as the case may be, and that are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions, power of attorney and Letter of Authority(ies) passed/ executed by RPPMSL and if any such resolutions have any monetary limits approved under the provisions of the Act or any other applicable statutory provisions, then such limits shall be added to the limits, if any, under like resolutions passed by RPPMSL and shall constitute the new aggregate limits for each of the subject matters covered under such resolutions for the purpose of RPPMSL.

18. **DISSOLUTION OF RITL AND RSMSL**

On the Scheme becoming effective, RITL and RSMSL shall stand dissolved without winding up and the Board and any committees thereof of RITL and RSMSL shall without any further act, instrument or deed be and stand discharged. On and from the Effective Date, the name of RITL and RSMSL shall be deemed to be struck off from the records of the concerned RoC.

19. **SAVING OF CONCLUDED TRANSACTIONS**

Nothing in this Scheme shall affect any transaction or proceedings already concluded or liabilities incurred by RITL and RSMSL, as the case maybe, until the Effective Date to the end and intent that RPPMSL shall accept and adopt all acts, deeds and things done and executed by RITL and RSMSL in respect thereto as done and executed on behalf of RPPMSL.

20. **BUSINESS UNTIL EFFECTIVE DATE**

20.1 With effect from the date of approval of the Scheme by the respective Boards of the Parties and up to and including the Effective Date:

20.1.1 RITL and RSMSL shall carry on their respective businesses with reasonable diligence and business prudence and in the same manner as RITL and RSMSL, as the case may be, had been doing hitherto;

20.1.2 RPPMSL shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authorities concerned as necessary under Applicable Law for such consents, approvals and sanctions which RPPMSL may require to carry on the business of RITL and RSMSL, as the case may be, and to give effect to the Scheme;

20.2 RITL with effect from the Appointed Date 1 and up to and including the Effective Date:

20.2.1 shall be deemed to have been carrying on and shall carry on its businesses and activities and shall hold and stand possessed of the assets for and on account of, and in trust for RPPMSL;

20.2.2 all profits or income arising or accruing to RITL and all Taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, dividend distribution tax, securities transaction tax, Taxes

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withheld/paid in a foreign country, etc.) or losses arising or incurred by RITL shall, be treated as and deemed to be the profits or income, taxes or losses of RPPMSL; and

20.2.3 all loans raised and all liabilities and obligations incurred by RITL after the Appointed Date 1 and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of RPPMSL in which it shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act, instrument or deed be and be deemed to become the debts, liabilities, duties and obligations of RPPMSL.

20.3 In case the Effective Date is after the Appointed Date 2 then, RSMSL with effect from Appointed Date 2 and up to and including the Effective Date:

20.3.1 shall be deemed to have been carrying on and shall carry on its businesses and activities and shall hold and stand possessed of the assets for and on account of, and in trust for RPPMSL;

20.3.2 all profits or income arising or accruing to RSMSL and all Taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, dividend distribution tax, securities transaction tax, Taxes withheld/paid in a foreign country, etc.) or losses arising or incurred by RSMSL shall, be treated as and deemed to be the profits or income, taxes or losses of RPPMSL; and

20.3.3 all loans raised and all liabilities and obligations incurred by RSMSL after the Appointed Date 2 and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of RPPMSL in which it shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act, instrument or deed be and be deemed to become the debts, liabilities, duties and obligations of RPPMSL.

20.4 For the purpose of giving effect to the amalgamation order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Tribunal, RPPMSL shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the amalgamation of RITL and RSMSL, as the case may be, in accordance with the provisions of Sections 230 to 232 of the Act. RPPMSL is and shall always be deemed to have been authorized to execute any pleadings, applications, forms, etc., as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme.

21. FACILITATION PROVISION

21.1 Notwithstanding anything contained in this Scheme, on or after Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to RITL and / or RSMSL are transferred, vested, recorded, effected and / or perfected, in the records of any Appropriate Authority, regulatory bodies or otherwise, in favour of RPPMSL, RPPMSL is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the

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license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement.

21.2 It is the intention of the Parties that both Part II and Part III are separate and that either can be made effective independently along with Part I and Part IV subject to a resolution being passed by the Board of the requisite companies to whom the relevant part is applicable.

22. APPLICATIONS/ PETITIONS TO THE TRIBUNAL

The Parties shall make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, for sanction of this Scheme under the provisions of the Act.

23. MODIFICATION OR AMENDMENTS TO THIS SCHEME

23.1 The Board of the Parties acting jointly may make any modifications or amendments to this Scheme at any time and for any reason whatsoever, or which may otherwise be considered necessary, desirable or appropriate. The Board of the Parties may consent to any conditions or limitations that the Tribunal or any other Appropriate Authority may impose.

23.2 For the purposes of giving effect to this Scheme, the Board of RPPMSL may give such directions including directions for settling any question or difficulty that may arise and such directions shall be binding as if the same were specifically incorporated in this Scheme.

24. WITHDRAWAL OF THIS SCHEME

24.1 The Board of RPPMSL shall be at liberty to withdraw the Scheme, any time before the Scheme is effective.

25. COSTS AND EXPENSES

All costs, charges and expenses payable in relation to or in connection with this Scheme and incidental to the completion of the Scheme including stamp duty on the order(s) of the Tribunal, if any, to the extent applicable and payable shall be borne and paid by RPPMSL.